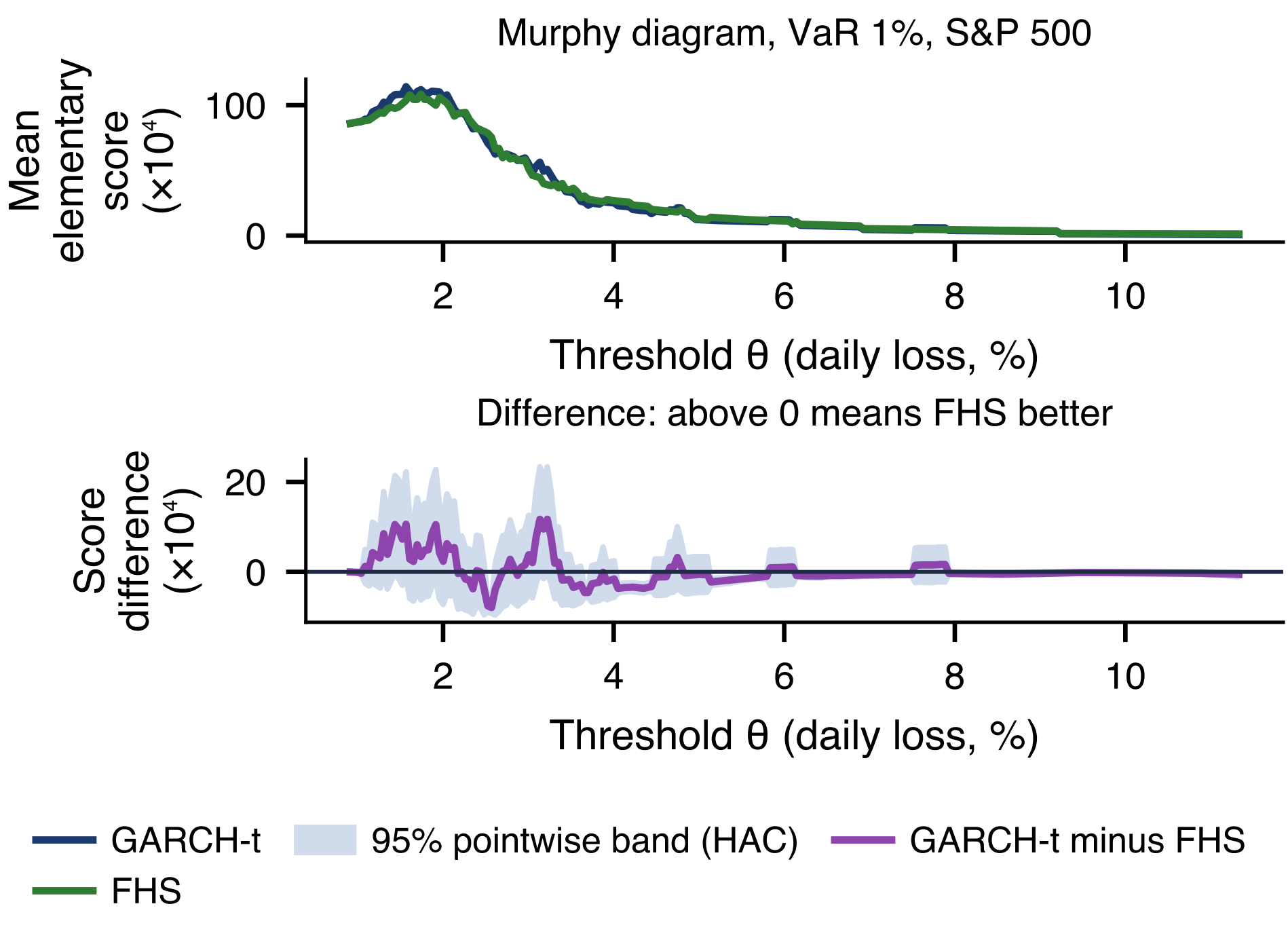
Murphy diagram, VaR 1%, S&P 500
Mean elementary score (×10⁴)
100
0
2
4
6
8
10
Threshold θ (daily loss, %)
Difference: above 0 means FHS better
Score difference (×10⁴)
20
0
2
4
6
8
10
Threshold θ (daily loss, %)
GARCH-t
FHS
95% pointwise band (HAC)
GARCH-t minus FHS